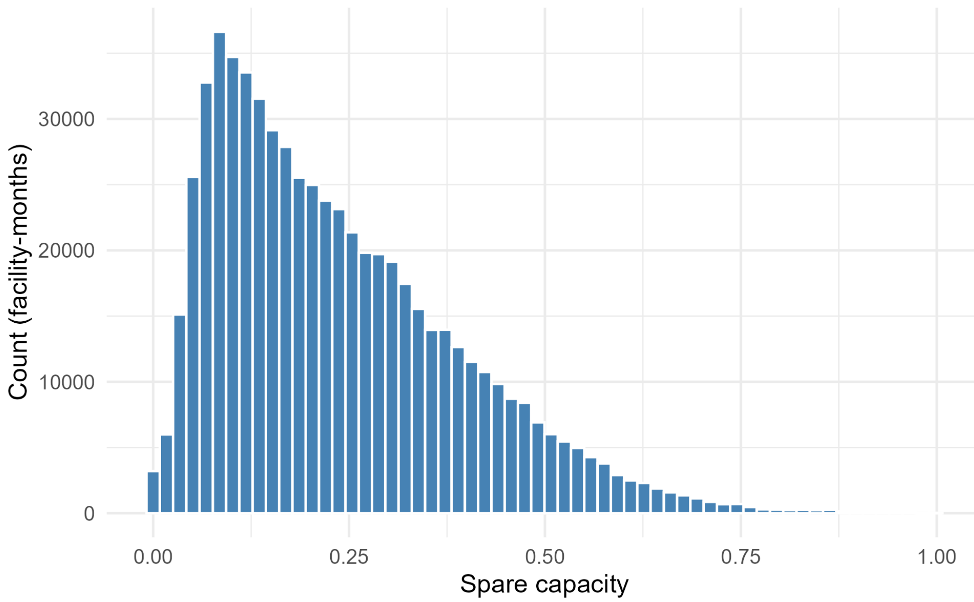

Figure 1: Distribution of Spare Capacity (Facility-Months)

Table 1: Summary Statistics: Spare Capacity

Statistic	**Spare Capacity**
N	626,311
Mean	0.236
SD	0.155
Min	0.000
P25	0.111
Median	0.203
P75	0.329
Max	0.999

Notes: Sample excludes the anticipation window.

Table 2: Spare Capacity and Occupancy Response to Ownership Change: Near-Capacity vs. Slack-Capacity Acquisitions

	Spare capacity	**Occupancy rate**
Slack-capacity: *post*	-0.0423^{***}	4.1610^{***}
	(0.0057)	(0.5692)
Difference (Near − Slack): *post* × Near-capacity	0.0238^{***}	-2.3312^{***}
	(0.0066)	(0.6562)
Near-capacity effect: *post* + interaction	-0.0185^{***}	1.8298^{***}
	(0.0048)	(0.4793)
Observations	117,863	117,863

Notes: Sample restricted to ever-treated facilities, split at the median pre-acquisition spare capacity (average spare capacity over event_time $\in [-12, -4]$, prior to the anticipation window).

Near-capacity = baseline spare capacity ≤ 0.261 (median); Slack-capacity = above. $N = 1443$ treated facilities with a usable baseline (722 near-capacity, 721 slack-capacity).

Controls exclude occupancy rate and spare capacity from each other's controls. All models include facility and calendar-month fixed effects; anticipation window excluded.

Standard errors are clustered two ways by facility and calendar month. Statistical significance: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$.